

August 10, 2025

Q2 Earnings Surprise + GPT-5 Release: The Next Industrial Revolution Is Here

Jordi Visser

JVisser@22VResearch.com

22vresearch.com

Summary

This week's video focuses on a blockbuster Q2 earnings season and the massive structural shifts being driven by AI, culminating in the launch of GPT-5. Despite tariffs, capex worries and heightened uncertainty earlier in the year, earnings easily beat expectations, S&P 500 earnings growth is running at ~11.9% vs. ~4.9% forecast, with 81% of companies beating revenue estimates. Industrials like Caterpillar, Parker Hannifin, Siemens, and Cummins report record backlogs and surging demand tied to AI, data centers, and power generation. Aggregate payrolls remain strong, leading indicators like regional PMI new orders and earnings revisions are trending higher, and retail spending momentum is holding firm, even as sentiment shows investors remain tilted to the bearish side. Net: AI-driven infrastructure spending is offsetting weakness in housing, CRE, and transportations, while many macro investors and strategists still underestimate this shift.

On tech, GPT-5 looks like a watershed for software creation, letting non-coders build enterprise-grade tools in minutes. That threatens legacy software and middleware models (e.g., Salesforce, SAP, Oracle) as AI agents arrive now, robo-taxis follow, and humanoids come later, an economic impact akin to the industrial + internet + electrification waves combined. Eric Schmidt and Elon Musk both underscore collapsing coding barriers and a post-app, post-OS future. With AI accelerating, crypto adoption gaining policy tailwinds, and power demand set to surge, markets are entering rapid, AI-led disruption that traditional GDP measures won't fully capture.

Timestamps

- **(00:00 – 02:54)** Strong Q2 earnings across the board despite tariffs and uncertainty; S&P 500 up 2.5% for the week and near all-time highs. Revenue beats (81% of companies) tied to nominal GDP; best quarter since Q2 2021. Earnings growth at 11.9% vs. 4.9% expected.
- **(04:04 – 09:21)** Industrial companies like Caterpillar, Parker Hannifin, Cummins, Siemens, Arista, and Bloom Energy report record backlogs and unprecedented AI/data center-driven demand. Power generation sales are booming; electricity buildout phase beginning. AI and infrastructure investment offset weakness in housing, CRE, and autos.
- **(10:46 – 14:30)** Capex and uncertainty trends reversing, sales revisions and PMI indicators point higher. Chicago PMI sees 9th largest new orders increase on record; retail spending and Visa momentum strong. Employment tax receipts healthy; bearish sentiment high despite strong data.
- **(17:02 – 20:57)** Labor market concerns overstated, aggregate payrolls (jobs × hours × wages) a better measure than headline NFP. Aggregate payrolls growth remains solid, supporting spending and nominal GDP. Cleveland Fed rent index drop could impact CPI's owners' equivalent rent.
- **(20:57 – 24:26)** GDP fails to fully capture AI-driven productivity and profit margin gains, concentrated in the "Magnificent 8" companies. Non-Mag 8 firms show flat profit margins; net worth/GDP ratio up sharply since ChatGPT launch, concentrated among top 20%.

- **(26:53 – 30:22)** Early AI agent adoption will cut information work costs, boost productivity, and roll out in phases, AI agents now, robo-taxis next, humanoids later. This could mirror the combined impact of industrial, internet, and electrification revolutions within decades.
- **(30:49 – 37:27)** GPT-5 release seen as a major inflection: capable of generating software on demand, threatening legacy software models and operating systems. Eric Schmidt and Elon Musk note collapse of coding barriers, enabling non-programmers to build apps, disrupting firms like Salesforce, SAP, Oracle.
- **(38:09 – 39:09)** Trend emerging: long energy, short software, energy demand from AI surging while software margins face disruption. Example: Chevron vs. Salesforce performance turning in energy's favor.
- **(39:09 – 41:20)** Bitcoin and Ethereum breaking higher; Trump EO allows crypto in 401(k)s and private equity. Three Fed rate cuts expected by year-end; possible surprise if long rates don't rise immediately after cuts. China slow on stablecoins; Bolivia's inflation driving crypto adoption.
- **(41:20 – 41:35)** Macro analysts still underestimating AI's impact by using outdated GDP measures; AI-driven shifts in productivity, earnings concentration, and capital flows mark a structural economic change.

[Watch here](#)

DISCLOSURES AND DISCLAIMERS

Analyst Certification

The analyst, 22V Research Group, primarily responsible for the preparation of this research report attests to the following: (1) that the views and opinions rendered in this research report reflect his or her personal views about the subject companies or issuers; and (2) that no part of the research analyst's compensation was, is, or will be directly related to the specific recommendations or views in this research report.

Analyst Certifications and Independence of Research.

Each of the 22V Research analysts whose names appear on the front page of this report hereby certify that all the views expressed in this Report accurately reflect our personal views about any and all of the subject securities or issuers and that no part of our compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views of in this Report.

22V Research (the "Company") is an independent research provider. The Company is not a member of the FINRA or the SIPC and is not a registered broker dealer or investment adviser. 22V Research has no other regulated or unregulated business activities which conflict with its provision of independent research.

22V Research, LLC is a professional services and independent publication organization. 22V Research, LLC is not a securities broker-dealer, not a member of the Financial Industry Regulatory Authority (FINRA), not a registered investment advisor (RIA) and not a member of SIPC.

Securities transactions, when offered, are offered by 22V Securities, LLC through LPS Capital, LLC. Certain employees of 22V Securities, LLC are dually registered as securities representatives of LPS Capital, LLC or Analyst Hub Securities, LLC. 22V Securities, LPS Capital and Analyst Hub Securities are members FINRA, SIPC.

<https://brokercheck.finra.org/>

Current Ratings Definition.

SECTOR OUTPERFORM: An "outperform" rating anticipates the company will outperform the S&P Regional Banking Index (peer group).

SECTOR PERFORM: A "market perform" rating anticipates the company will perform in line with the S&P Regional Banking Index (peer group).

SECTOR UNDERPERFORM: An "underperform" rating anticipates the company will underperform the S&P Regional Banking Index (peer group).

Limitation Of Research And Information.

This Report has been prepared for distribution to only qualified institutional or professional clients of 22V Research Group. The contents of this Report represent the views, opinions, and analyses of its authors. The information contained herein does not constitute financial, legal, tax or any other advice. All third-party data presented herein were obtained from publicly available sources which are believed to be reliable; however, the Company makes no warranty, express or implied, concerning the accuracy or completeness of such information. In no event shall the Company be responsible or liable for the correctness of, or update to, any such material or for any damage or lost opportunities resulting from use of this data. Nothing contained in this Report or any distribution by the Company should be construed as any offer to sell, or any solicitation of an offer to buy, any security or investment. Any research or other material received should not be construed as individualized investment advice. Investment decisions should be made as part of an overall portfolio strategy and you should consult with a professional financial advisor, legal and tax advisor prior to making any investment decision. 22V Research Group shall not be liable for any direct or indirect, incidental or consequential loss or damage (including loss of profits, revenue or goodwill) arising from any investment decisions based on information or research obtained from 22V Research Group.

Reproduction And Distribution Strictly Prohibited.

No user of this Report may reproduce, modify, copy, distribute, sell, resell, transmit, transfer, license, assign or publish the Report itself or any information contained therein. Notwithstanding the foregoing, clients with access to working models are permitted to alter or modify the information contained therein, provided that it is solely for such client's own use. This Report is not intended to be available or distributed for any purpose that would be deemed unlawful or otherwise prohibited by any local, state, national or international laws or regulations or would otherwise subject the Company to registration or regulation of any kind within such jurisdiction.

Copyrights, Trademarks, Intellectual Property.

22V Research Group, and any logos or marks included in this Report are proprietary materials. The use of such terms and logos and marks without the express written consent of 22V Research Group is strictly prohibited. The copyright in the pages or in the screens of the Report, and in the information and material therein, is proprietary material owned by 22V Research Group unless otherwise indicated. The unauthorized use of any material on this Report may violate numerous statutes, regulations and laws, including, but not limited to, copyright, trademark, trade secret or patent laws.